ARTICLE 1 DEFINITIONS AND INTERPRETATION

This Facility Agreement is made between Konkan Cements Limited (the Borrower) and Bharat Commercial Bank Limited (the Lender) for a term loan facility of INR 850 crore.

Business Day means a day on which banks are open for general business in Mumbai. Financial Year means the period of twelve months ending on 31 March of each year.

EBITDA means profit before tax, interest, depreciation and amortisation, as shown in the audited consolidated financial statements of the Borrower.

ARTICLE 2 THE FACILITY

The Borrower may request a drawdown by giving the Lender not less than 5 (five) Business Days notice, and each drawdown shall not be less than INR 25 crore.

The Borrower may prepay the facility after giving not less than 30 (thirty) days prior written notice to the Lender.

ARTICLE 7 FINANCIAL COVENANTS

7.1 The Borrower shall ensure that the Debt Service Coverage Ratio shall not be less than 1.35 times, tested quarterly on a trailing twelve month basis.

7.2 Total Debt to EBITDA shall not be more than 3.50 times on each test date.

7.3 The Interest Coverage Ratio shall at no time be lower than 2.25 times.

7.4 The Borrower shall maintain a Tangible Net Worth of not less than INR 600 Crores at all times.

ARTICLE 8 UNDERTAKINGS

8.1 The Borrower shall not create any lien, charge or encumbrance over its assets without the prior written consent of the Lender.

8.2 The Borrower shall keep its plant and stocks insured against all risks and shall maintain the insurance policies in force throughout the tenor.

ARTICLE 9 EVENTS OF DEFAULT

Any amount unpaid for more than 7 (seven) days after its due date is an Event of Default.

A cure period of 30 (thirty) days applies to any breach of the financial covenants that is capable of remedy.